INTRODUCTION

Prior Learning Modules have shown the funding technique of securitization can be backed by diverse types of assets, including loans and receivables as well as residential or commercial mortgages. A unifying principle in all asset-backed security (ABS) structures is that their underlying cash flows can be reconfigured into various tranches, each with its particular payment pattern to investors and associated risks. The advantage of this targeted partitioning includes a reduction in the variability of cash flows and the reallocation of risks, such as default and early repayment across specific tranches, with associated returns. Overall, ABS securitization provides risk transfer, flexibility to issuers and investors, and efficiency of capital allocation.

Category
Asset-Backed Security (ABS) Instrument and Market Features

Learning Module Overview

- Covered bonds are issued by financial institutions as senior debt obligations. Backed by a segregated pool of assets typically consisting of commercial or residential mortgages, or public sector assets, these assets remain on the issuer's balance sheet.
- Non-mortgage ABS are securitizations that remove the pool of assets from the original issuer's balance sheet. They are generally collateralized by non-amortizing loans, such as credit card receivables, that retain their original loan value during a specific period of their life before the stated maturity date, known as the lockout or revolving period. During this time, principal that is repaid is reinvested to replenish the collateral pool.
- Collateralized debt obligation (CDO) is a generic term describing securitization backed by diversified collateral pools of non-mortgage debt (such as bonds or loans) that redistribute segmented cash flows to investors. The CDO's tranches receive the cash flows according to an order of priority, with senior claims having lower bond-like payouts and junior claims receiving potentially higher but more variable returns.
- The most common CDO structure is a collateralized loan obligation (CLO) and is subject to uniquely complex non-linear risks in cases of collateral defaults.
- Credit tranching, which involves creating distinct senior and subordinated bond classes ("tranches"), offers credit protection for the more senior bond classes in a securitization. Senior bond classes are paid from the underlying asset pool before subordinated tranches; subordinated bond classes absorb any cash flow losses resulting from defaults in the asset pool before senior tranches.
- Creating a set of bond classes allows investors to choose the level of risk, expected maturity, and the associated returns they prefer. Each bond class created in a securitization is typically rated based on both the quality of the underlying collateral and the seniority of the class.

Learning Module Self-Assessment

1. Which of the following types of descriptive information is typically excluded from an ABS term sheet?

C. Aggregate amount of collateral pool assets

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Solution:

The correct answer is B. The term sheet typically provides the face value of the tranche notes at the time of the transaction, not their market value. Both A and C are incorrect as these items are typically included in the term sheet.

2. After the lockout period for ABS with non-amortizing collateral, how are the cash flows for loan repayments directed?

A. All of the principal is reinvested to acquire additional loans.
B. Part of the principal is reinvested if the collateral pool is depleted.
C. No principal is reinvested, and all is distributed to different tranches.

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Solution:

The correct answer is C. When the lockout period is over and the amortization period starts, any principal that is repaid will not be reinvested in new loans but will be distributed to the different tranches.

3. The prevailing CDO structure is the:

A. CLO.
B. CMO.
C. Structured finance CDO.

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Solution:

The correct answer is A. Collateralized loan obligations (CLOs) have a collateral pool composed of loans. B is incorrect because while similar, CMOs are based on mortgages. C is incorrect because it is based on a portfolio of other CDOs.

4. Which of the following statements about CLOs is accurate?

A. The CLO replicates the firm's capital structure.
B. Purchases of a CLO's collateral are funded by issuing equity.
C. A CLO's junior tranche earns a potentially higher yield than comparable corporate bonds.

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Solution:

The correct answer is A. Fundamentally, a CLO replicates the capital structure of the firm. B is incorrect because CLO collateral purchases rely on funds obtained from the issuance of debt. C is incorrect because it is the senior of mezzanine tranches that earn a potentially higher yield than comparable corporate bonds.

5. Which of the following aspects of their transaction structures is *most likely* shared by solar ABS, CLOs, and covered bonds?

A. A pre-funding period
B. An unstable collateral pool
C. A diversity of default exposures

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Solution:

The correct answer is B. All these ABS lack a stable initial asset pool and require ongoing collateral management. A is incorrect because a pre-funding

have only one bond class with its associated default exposure in its cover pool.

6. Which internal credit enhancement involves creating bond classes that differ in how they share any losses resulting from defaults in the collateral pool?

A. Subordination
B. Overcollateralization
C. Cash collateral accounts

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Solution:

The correct answer is A. Subordination or credit tranching in the securitization transaction involves creating more than one bond class or tranche, and the bond classes differ in how they share any losses resulting from defaults in the collateral pool. B is incorrect because overcollateralization is an internal credit enhancement in which the collateral underlying the transaction is larger than the face value of the issued bonds, so that even if defaults are in the pool, the transaction has sufficient cushion to continue paying principal and interest payments on the bonds. C is incorrect because it is a type of external, not internal, credit enhancement.

7. Which of the following statements about covered bonds is *incorrect*?

A. The LTV on the mortgages included in the transactions must meet certain standards to be eligible for inclusion in the pool.
B. Covered bond transactions typically involve collateral underlying the transaction that is less than the face value of the issued bonds.
C. Redemption regimes exist to align the covered bond's cash flows with the original maturity schedule in the event of default of a covered bond's sponsor.

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Solution:

The correct answer is B. Covered bond transactions typically involve collateral underlying the transaction, which exceeds the face value of the issued bonds referred to as overcollateralization. A is incorrect because it is a correct statement. The loan to value (LTV) on the mortgages included in the transactions must meet certain standards to be eligible for inclusion in the pool. If a mortgage fails to meet the LTV criteria, it is replaced with another mortgage that meets the criteria. C is incorrect because it is a correct statement. Redemption regimes exist to align the covered bond's cash flows as closely as possible with the original maturity schedule in the event of default of a covered bond's financial sponsor.

8. Which of the following bonds experiences a bond default and accelerated bond payments if payments are not made according to the original schedule?

A. Soft-bullet covered bonds
B. Hard-bullet covered bonds
C. Conditional pass-through covered bonds

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Solution:

The correct answer is B. For hard-bullet covered bonds, if payments do not occur according to the original schedule, a bond default is triggered and bond payments are accelerated. A is incorrect because soft-bullet covered bonds delay the bond default and payment acceleration of bond cash flows until a new final maturity date, which is usually up to a year after the original maturity date. C is incorrect because conditional pass-through covered bonds convert to pass-

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